

The effect of option D

What the scheme recovers on water today, what last year would have looked like under option D, and what the year ahead would look like. All figures exclude VAT.

At a glance

	FY 2025/2026 actual	FY 2026/2027 projected
City of Johannesburg charged	R 14,165.50	R 16,002.26
Recovered from owners — as things stand	R 24,160.51	R 26,154.64
Margin	R 9,995.01	R 10,152.38
Margin, per unit per month	R 118.99	R 120.86
Recovered from owners — option D	R 14,165.50	R 15,935.19
Margin under option D	nil	–R 67.07

Option D does not save the scheme money and does not cost it money. It makes the water line recover what the water actually costs, and moves everything else into the levy where it can be seen. The margin does not disappear — **the meeting decides what happens to it.**

Why the margin is so large

Two structural reasons, neither of them the minimum charge:

	What happens	Effect
Bands the complex never reaches	Each unit is billed as a separate council customer, so a larger household climbs into price steps the complex as a whole never enters. The council never billed El Corazon above its third step all year.	Falls on the heaviest users
The free allowance is discarded	The council grants 504 kL free a year and pools it across the complex. Owners claimed only 404 kL; the council let the other 99 kL soak up the heavier households' usage. Billing each unit separately throws it away.	Falls on everyone

A third item is separate from the billing method: the common-property water provision in the levy is set at 20 kL a month against measured use of **6.9 kL**. Option D absorbs common-property water into the council charge it recovers, so under option D the provision falls away entirely.

View 1 · How it works today

Metered water charged to each owner. Every unit also pays the common-property water provision through the levy — R 70.50 a month excluding VAT in FY 2025/2026, R 79.30 in FY 2026/2027 — which is not in this table.

Unit	kL/year	2025/26 actual	2026/27 projected	Change	
Unit 1	183.0	R 3,517.84	R 3,957.39	R 439.55	12%
Unit 2	23.6	R 524.29	R 397.13	-R 127.16	-24%
Unit 3	226.2	R 5,541.74	R 6,234.32	R 692.58	12%
Unit 4	84.0	R 1,258.82	R 860.54	-R 398.28	-32%
Unit 5	128.5	R 1,702.03	R 1,914.75	R 212.72	12%
Unit 6	212.5	R 5,099.47	R 5,736.84	R 637.37	12%
Unit 7	31.9	R 594.69	R 392.10	-R 202.59	-34%
Total	889.7	R 18,238.88	R 19,493.07	R 1,254.19	7%

FY 2026/2027 assumes consumption repeats FY 2025/2026 month for month, per unit — the only honest basis from a single year of readings. The council's tariff rises 12.5% on 1 August 2026, yet three units pay less: the flat-minimum rule adopted in August hands back more to the lightest users than the tariff takes from them.

What the scheme collects, in full

	FY 2025/2026	FY 2026/2027
Metered water billed to units	R 18,238.88	R 19,493.07
Common-property provision recovered	R 5,921.63	R 6,661.57
Total recovered from owners	R 24,160.51	R 26,154.64
Council charged	R 14,165.50	R 16,002.26
Margin	R 9,995.01	R 10,152.38
	+70.6%	+63.4%

The provision is shown excluding VAT. It is captured on the levy grid inclusive — R 81.07 per unit per month in FY 2025/2026, R 91.20 in FY 2026/2027 — and comparing that against a council charge that excludes VAT would overstate the margin.

View 2 · Option D applied to FY 2025/2026

What each owner would have paid for metered water last year had option D been in force from 1 August 2025. The common-property provision falls away under option D, so this is the whole water consumption charge.

Unit	kL/year	As billed	Option D	Change	
Unit 1	183.0	R 3,517.84	R 3,240.70	-R 277.14	-8%
Unit 2	23.6	R 524.29	R 23.63	-R 500.66	-95%
Unit 3	226.2	R 5,541.74	R 4,522.46	-R 1,019.28	-18%
Unit 4	84.0	R 1,258.82	R 587.59	-R 671.23	-53%
Unit 5	128.5	R 1,702.03	R 1,624.18	-R 77.85	-5%
Unit 6	212.5	R 5,099.47	R 4,119.09	-R 980.38	-19%
Unit 7	31.9	R 594.69	R 47.84	-R 546.85	-92%
Total	889.7	R 18,238.88	R 14,165.50	-R 4,073.38	-22%

Units 2, 4 and 7 fall close to nil because the council genuinely charged nothing for their water — it fell inside the free allowance. They still pay R 882.22 a month in fixed water charges (sewerage and the water demand levy), so a nil consumption line does not mean free water.

The rate card that produces those figures

Consumption in the month	FY 2025/2026 card
First 6 kL	free
Next 4 kL (6 – 10 kL)	R 28.48 per kL
Above 10 kL	R 29.73 per kL

The council's R 29.84 and R 31.15, capped at the third step — the highest the complex itself was ever billed at — and multiplied by a reconciliation factor of 0.9543. Recovery is R 14,165.50, exactly what the council charged.

View 3 · Option D for FY 2026/2027

The year ahead. The card is set at this meeting, using the council's newly published rates and the factor measured on last year — it cannot use a factor from a year that has not happened yet, and it does not need to.

The card this meeting would set

Consumption in the month	Council rate	× 0.9543	Card
First 6 kL	free		free
Next 4 kL (6 – 10 kL)	R 33.57	0.9543	R 32.03 per kL
Above 10 kL	R 35.04	0.9543	R 33.44 per kL

The true-up, demonstrated. On projected consumption that card recovers **R 15,935.19** against a projected council charge of **R 16,002.26** — short by R 67.07, or **R 0.80 per unit per month**. That is the entire cost of setting the card a year in advance, and it corrects itself in the following year's factor.

Per owner, FY 2026/2027

Metered water under the two methods, on the same projected consumption.

Unit	kL/year	As things stand	Option D	Change	
Unit 1	183.0	R 3,957.39	R 3,645.56	-R 311.83	-8%
Unit 2	23.6	R 397.13	R 26.59	-R 370.54	-93%
Unit 3	226.2	R 6,234.32	R 5,087.39	-R 1,146.93	-18%
Unit 4	84.0	R 860.54	R 661.02	-R 199.52	-23%
Unit 5	128.5	R 1,914.75	R 1,827.17	-R 87.58	-5%
Unit 6	212.5	R 5,736.84	R 4,633.64	-R 1,103.20	-19%
Unit 7	31.9	R 392.10	R 53.82	-R 338.28	-86%
Total	889.7	R 19,493.07	R 15,935.19	-R 3,557.88	-18%

Under option D there is no common-property provision on top of these figures. As things stand there is — R 79.30 per unit per month excluding VAT, R 951.60 for the year.

What it means for each owner

Option D hands the margin back. If the body corporate's income is to stay unchanged, that must be recovered through the levy — **R 121.66 per unit per month, equally**. On that basis nothing leaves the scheme and the change is purely a redistribution:

Unit	kL/year	Water cost today	Under option D	Net change	Per month
Unit 1	183.0	R 4,909.04	R 5,105.49	+R 196.44	+R 16.37
Unit 2	23.6	R 1,348.78	R 1,486.51	+R 137.73	+R 11.48
Unit 3	226.2	R 7,185.97	R 6,547.31	-R 638.66	-R 53.22
Unit 4	84.0	R 1,812.19	R 2,120.94	+R 308.75	+R 25.73
Unit 5	128.5	R 2,866.40	R 3,287.09	+R 420.68	+R 35.06
Unit 6	212.5	R 6,688.49	R 6,093.57	-R 594.93	-R 49.58
Unit 7	31.9	R 1,343.75	R 1,513.74	+R 169.99	+R 14.17
Total	889.7	R 26,154.64	R 26,154.64	nil	nil

Water consumption plus the common-property provision, per owner per year, for FY 2026/2027. A plus sign means that owner pays more than they would today. Fixed charges — sewerage and the water demand levy — are identical under both and are excluded.

Held revenue-neutral, option D costs the five lighter households R 11 to R 35 a month and returns R 50 to R 53 a month to Units 3 and 6. That is the correction working as intended: those two were the ones climbing into price steps the complex never reached. The meeting is free to hand back less than the full margin, in which case every figure above moves towards zero.

The reconciliation factor

The one number the meeting has to set. Everything else on the rate card comes from the council's published tariff.

How it is worked out

Numerator	The year's council water consumption charges, excluding VAT — the twelve invoices, nothing else. Not sewerage, not the water demand levy.	R 14,165.50
Denominator	The same twelve months of unit meter readings, priced on the council's own step rates and stopped at the highest step any invoice reached that year.	R 14,844.40
Factor	One divided by the other.	0.9543

Why it is not 1.00

Because the council pools what the scheme splits. Two effects, pulling opposite ways:

	Effect on the year
The council grants 504 kL free a year and applies it to the complex as a whole. Owners claimed only 404 kL; the council let the remaining 99 kL absorb the heavier households' usage. Billing each unit on its own ladder discards it.	–R 3,166
The council also charges for common-property water and losses — 83 kL a year that no unit meter records and no unit ladder therefore prices.	+R 2,547
Council reading periods straddling the scheme's calendar months, and the August tariff change.	–R 59
Net	–R 679

This matters more than the 4.6% adjustment suggests. The factor is the small residue of two effects roughly five times its size. Either can move on its own — a leak taking common-property water from 83 to 120 kL a year would push the factor above 1.20, and it should. **It is a genuine annual measurement, not a standing discount.**

One invoice was never issued. The council billed nothing for 18 December to 19 January — 77 kL that flowed through the meter and was never charged for. The figures in this pack assume the council eventually bills it, and impute R 940.34 accordingly. If the meeting prefers to treat it as never payable, the factor falls to **0.8909** and the card to R 29.91 and R 31.22 — about 7% cheaper for every owner, at the risk of a R 940 shortfall if the council does catch up.

What the meeting has to decide

	Decision
1	Adopt option D as the billing method, or keep the present one. This on its own changes nothing about how much the scheme collects in total — only how it is split and how it is described.
2	Discontinue the 20 kL common-property water provision, which option D makes redundant. This takes R 7,660.80 a year including VAT out of levy income.

Decision

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|---|---|
| 3 | Decide how much of the margin to replace through the levy — anything from nil to R 121.66 per unit per month. This is a budget decision and can be taken on its own merits. |
| 4 | Set the reconciliation factor for FY 2026/2027 — 0.9543 on the figures in this pack — and instruct that it be reviewed at each AGM against the year's council invoices. |
| 5 | Decide how the un-issued December–January invoice is treated: imputed as payable, or written off. It moves the factor between 0.9543 and 0.8909. |

Basis of preparation

FY 2025/2026 figures are actuals: twelve City of Johannesburg water invoices read from the scanned originals, and the metered water as each statement actually priced it. The council charge is stated after correcting the February 2026 capture error (R 1,216.06 recorded against R 940.34 reconstructed); that correction is still to be confirmed against the physical invoice. FY 2026/2027 assumes consumption repeats FY 2025/2026 month for month, per unit, priced on the tariff effective 1 August 2026. The projected council charge of R 16,002.26 prices each month's actual step widths at the new rates; a flat 12.5% uplift gives R 15,935.33, and the 0.4% difference is the August invoice straddling the tariff change. All figures exclude VAT. Unit 2's December 2025 reading is negative and has been treated as nil pending correction.